

Hanson Short Term Debt Case

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Luke Buddie, Beck O'Kelly, Henrik Ahlgren, and Amanda Chang



BerkeleyHaas

Hanson Ski Products

The company does not exceed its credit line limit

- Leverage normalizes to 0.5x Debt-to-Capital, indicating a **sustainable capital structure**
- Cash Conversion Cycle improves to ~52 days, supporting liquidity and budget feasibility
- **Interest coverage rises to 4.8x**, showing strong ability to service planned debt
- Asset turnover increases to 1.9x, confirming efficient use of assets to support growth
- **Year-end borrowing remains well below the \$4.2M credit line**, indicating ample capacity

The company has sufficient collateral

- Notes payable remain below the \$4.2M credit line in all quarters (Q1–Q4)
- **Borrowing base** (80% A/R + 70% inventory) **exceeds notes payable in all quarters**
- Collateral is sufficient at all times, supporting bank lending capacity
- Peak borrowing occurs in Q2 (\$3.7M), still comfortably under the credit limit
- Only November temporarily exceeds the limit, due to the \$841k stockholder loan repayment - leaves virtually no liquidity buffer - any slip in shipments, snow-driven demand, or working-capital timing creates an immediate cash shortfall

	Q1	Q2	Q3	Q4
Cash Balance from BS	156	100	100	100
Credit Line	4,200	4,200	4,200	4,200
Additional Loan	629	1,551	(686)	(1,391)
Existing loan	1,547	2,176	3,727	3,041
Notes payable—banks	2,176	3,727	3,041	1,650
Eligible Collateral (Borrowing Base)	2,371	4,847	4,607	2,701
Check (Notes Payable < Borrowing Base)	OK	OK	OK	OK

Asset Side of the Balance Sheet

	Q1	Q2	Q3	Q4
Current Assets				
Cash	\$100	\$100	\$100	\$100
Receivables, net	507	4,580	4,739	1,741
Inventories	2,808	1,690	1,166	1,869
Prepaid expenses	241	294	198	283
Total current assets	\$3,656	\$6,664	\$6,203	\$3,993
Fixed Assets				
Plant, property, and equipment	\$3,570	\$3,808	\$3,987	\$4,288
Less accumulated depreciation and amortization	1,398	1,564	1,743	1,938
Total net fixed assets	\$2,172	\$2,244	\$2,244	\$2,350
Other assets	201	247	283	302
Total Assets	<u>\$6,029</u>	<u>\$9,155</u>	<u>\$8,730</u>	<u>\$6,645</u>

What the Balance Sheets Show

- **Highly seasonal working capital** (DIO, DSO, DPO swing sharply across quarters)
- **Short-term debt tracks the cash conversion cycle**, but remains within credit limits
- **Profitability strengthens** (higher margins, improving interest coverage)
- Year-end liquidity improves as DIO and DSO fall and cash cycle normalizes
- **Leverage stabilizes**, with debt-to-capital declining and equity growing

Liability & Equity Side of the Balance Sheet

	Q1	Q2	Q3	Q4
Liabilities				
Accounts payable	1,849	1,717	1,755	1,664
Notes payable—banks	2,176	3,727	3,041	1,650
Income taxes payable	-	-	-	-
Current installments—long-term debt	980	1,060	207	189
Total current liabilities	\$5,005	\$6,504	\$5,003	\$3,503
Long-term debt				
Term loan	--	--	--	--
Notes payable to banks	--	--	--	--
Total	\$0	\$0	\$0	\$0
Stockholders' Equity:				
Common stock	1,249	1,249	1,249	1,249
Additional paid-in capital	105	105	105	105
Retained earnings (deficit)	(\$330)	\$1,297	\$2,373	\$1,788
Total stockholders' equity	\$1,024	\$2,651	\$3,727	\$3,142
Total Liabilities & Equities	\$6,029	\$9,155	\$8,730	\$6,645
Check	OK	OK	OK	OK

Cash Budget Monthly

	October	November	December
Cash balance	100	100	100
Cash receipts	\$1,000	\$1,054	\$2,518
Cash outflow			
For materials, labor, and operating expenses (except for interest)	830	1,065	803
Interest	54	56	58
Capital expenditures	69	62	48
Pay back stockholder loans	-	841	-
Total	953	2024	909
Change in cash	\$47	(\$970)	\$1,609
Beginning Loan Balance	3,727	3,680	4,650
Additional Loan Needed	(47)	970	(1,609)
Notes Payable	3,680	4,650	3,041
Credit line	4,200	4,200	4,200
Collateral	5,268	5,368	4,607
Notes payable - bank	3,680	4,650	3,041
Collateral check	OK	OK	OK
Credit line check	OK	TROUBLE	OK
Collateral for bank loans at end of month			
Receivables	5,420	5,517	4,739
Inventory	1,331	1,363	1,166

Problem Paying Off the Credit Line:

- Notes payable in November = 4,650
- Available credit line = 4,200
 - Notes payable exceed the credit line by 450
- Because borrowing needs surpass the maximum credit line, the company cannot legally or contractually borrow enough to cover cash outflows in November
- This creates:
 - Liquidity shortfall
 - Inability to finance operations with existing loan facilities
 - Risk of default unless additional financing is secured

What could Hanson do to be sure the loans can be paid?

- Take a **very short-term bridge loan (under 30 days)** despite the higher interest rate to cover the immediate liquidity gap and ensure the scheduled loan payments can be made and pay it back by increasing current Notes payable bank in December from \$3,041K to \$3,491K
- Offer customers early-payment discounts to accelerate November A/R collections**, pulling forward part of December's inflows and reducing the borrowing needed
- Negotiate a seasonal repayment structure** so interest is paid during the high season, ensuring stronger liquidity at the season's start
- Reduce or defer Q3 capital expenditures** to December/Q4 to free up cash
- Increase line of credit temporarily** until December cash receipts arrive
- Stretch accounts payable for November** to reduce cash outflow and require less borrowing, prioritizing vendors with the longest tolerance for delayed payment

Key Ratios

Hanson Ski Products

	FY 84	FY 85	FY 86	Q1	Q2	Q3	Q4	FY 87
Income statement								
Sales Growth		33.3%	27.4%		1407.2%	-19.1%	-82.6%	21.6%
Gross Margin	47.2%	46.0%	47.0%	12.0%	55.4%	54.4%	41.0%	52.5%
Opex/Sales	30.2%	30.0%	28.4%	199.2%	20.4%	26.3%	111.3%	35.0%
Interest coverage	2.2x	2.9x	3.6x	-10.9x	18.7x	8.0x	-6.8x	4.8x
Net Profit Margin	9.4%	10.5%	11.9%	-187.2%	27.6%	22.6%	-70.3%	11.7%
Balance sheet								
DIO	162.3	152.3	135.1	593.5	77.0	59.1	278.2	114.8
DSO	43.3	48.6	54.0	237.4	38.8	87.9	350.5	49.9
DPO	63.5	65.3	88.8	449.3	61.0	71.8	313.4	113.0
Cash Conversion Cycle	142.2	135.6	100.4	381.6	54.8	75.2	315.3	51.7
Asset turnover (year basis)	1.7x	1.8x	1.8x	0.3x	3.1x	2.1x	0.4x	1.9x
Leverage ratio (Debt-to-Equity)	-10.9x	8.8x	2.4x	4.9x	2.5x	1.3x	1.1x	1.1x
Debt-to-Capital	1.1x	0.9x	0.7x	0.8x	0.7x	0.6x	0.5x	0.5x
Equity-to-Capital	-0.1x	0.1x	0.3x	0.2x	0.3x	0.4x	0.5x	0.5x